CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE (X)

The City Council of Gilroy is placing Measure (X) on the November 2026 ballot to increase the maximum Transient Occupancy Tax rate to 13% until ended by the voters. The Transient Occupancy Tax, commonly referred to as the "Hotel Tax," is imposed on persons staying in hotels, short-term rentals, or other lodging for a period of 30 days or less.

If approved by voters, Measure (X) amends the Hotel Tax Ordinance set forth in Chapter 25A.2 of the Gilroy City Code to initially increase the Hotel Tax rate by 2% from the current rate of 9% to 11%. In addition, Measure (X) amends the Hotel Tax Ordinance to provide that the City Council may by resolution adjust the rate of the Hotel Tax upwards or downwards without a vote of the people provided that the rate does not exceed 13%.

Monies received from the Hotel Tax are deposited into the City of Gilroy general fund and may be used for any lawful purpose. City services funded could include, for example, street/pothole repairs, park and recreation programs, emergency preparedness for storms, flooding and wildfires, and police and fire response, among other things.

A "Yes" vote is a vote in favor of Measure (X). A "No" vote is a vote against Measure (X). The Measure will be approved if it receives a simple majority of "Yes" votes.

s/Andrew L. Faber

City Attorney
City of Gilroy

60

81

50

34

2

2

1

W=230

FILED
AUG 07 2026
REGISTRAR OF VOTERS
COUNTY OF SANTA CLARA
By [redacted] Deputy

9:42 A.M.

[redacted]